

ACME Corporation — Q3 2024 Financial Report

Executive Summary

Revenue increased 23% year-over-year to 4.2 billion dollars.

Operating margin expanded 150 basis points to 18.3 percent.

Free cash flow generation remained robust at 890 million dollars.

The board approved a new share buyback program of 500 million.

Headcount grew to 42000 employees globally across all divisions.

Revenue Breakdown by Segment

Cloud Services revenue grew 45% to 1.8 billion dollars.

Enterprise Software revenue grew 12% to 1.4 billion dollars.

Professional Services revenue grew 8% to 600 million dollars.

Hardware division revenue declined 5% to 400 million dollars.

International revenue now represents 38% of total revenue.

North America remains the largest market at 62% of revenue.

Risk Factors and Outlook

Management raised full-year guidance to 16.5 billion dollars.

Key risks include macroeconomic uncertainty and FX headwinds.

Competition in cloud services intensified during the quarter.

Supply chain normalization contributed to margin improvement.

R&D investment increased 18% to support next generation products.

Customer retention rate improved to 94% from 91% last year.

Balance Sheet Highlights

Total assets stood at 28.4 billion dollars at quarter end.

Cash and equivalents increased to 6.2 billion dollars.

Long-term debt reduced by 800 million dollars during the quarter.

Debt to equity ratio improved to 0.42 from 0.51 a year ago.

Working capital position remains strong at 4.1 billion dollars.

Capital expenditure was 620 million dollars for the quarter.